

Ashlar Steel

Billet and Semi-Finished Steel Nigeria Plan & Cost-Benefit Analysis

Two companies, one holding, one corridor. Ashlar Longs rolls TMT, wire rod and merchant bar. Ashlar Billets melts scrap and DRI only to feed that mill. Raise Phase 1 — 150 kt, ₦82 billion plant — then earn a captive melt. One million tonnes is a gate, not the opening cheque.

Prepared	September 2026 · v1.0
Horizon	10 years (2028-2037) · FX ₦1,500 / USD
Phase 1	₦28.7 billion equity · ₦53.3 billion DFI/bank · 150 kt longs
Phase 2 (gated)	200 kt captive EAF · ₦163 billion plant · after 70% utilisation
Planning Y10	₦159bn sales · ₦7.9bn NPAT · IRR 5.3% with residual
₦100bn profit	Only the gated 1.0 Mt option (₦135bn NPAT, ₦692bn plant)
Classification	Open industrial corridor → Web planning document — not financial, legal, tax or investment advice

Prepared: September 2026 · **v1.0**

Horizon: 10 years (2028–2037) · planning FX **₦1,500 / USD**

Vehicles: Ashlar Steel Holdings → **Ashlar Longs Ltd** and **Ashlar Billets Ltd**

Classification: Planning document — not financial, legal, tax or investment advice.

This plan is independent. It does not rely on kiosks, termini, or any other business. Two companies, one holding, one industrial corridor.

1. Verdict

Nigeria still buys most of its steel abroad. Official iron-and-steel imports passed **₦1 trillion** in 2025 (NBS). The Steel Ministry's wider estimate, including under-recorded cargo, is about **\$4 billion (~₦5.6 trillion)** a year. Domestic crude output was about **1.2 million tonnes** in 2025 against a government ambition of **10 million tonnes** by 2030. Construction still pays around **₦0.95–1.10 million per tonne** for TMT rod.

That is a real industrial gap. It is not an empty field. African Foundries already runs a large longs complex. Premium Steel has a **\$1.3 billion** brief to revive Delta Steel. A **\$450 million** Ogun plant is in the announced queue. About **\$2.7 billion** of private steel commitments are on the table. This plan does **not** bid Ajaokuta or Delta Steel. It builds a **private** pair of companies on the Ogun industrial belt: roll first, melt second.

Question	Planning answer
Is the shape right?	Yes. B2B staple, heavy product, factories and sites that already buy every month.
Two companies?	Yes. LongsCo rolls. BilletCo melts. Holdings owns both.
Opening commitment?	Phase 1 only: 150 kt/year rolling mill. Plant ₦82 billion . Equity ₦28.7 billion . DFI/bank ₦53.3 billion at 9%.
Phase 2?	200 kt captive EAF + caster + ~40 MW gas. Plant ₦163 billion . FID only after gates.
Full planning plant?	₦245 billion over five years. Equity ₦85.8 billion . Debt ₦159 billion .
Planning Year-10 run-rate?	₦159 billion sales · ₦33 billion EBITDA · ₦7.9 billion NPAT.
Does Phase 1+2 clear 18%?	No. NPV @ 18% with residual –₦68 billion . Unlevered IRR with residual 5.3% .
When does it clear?	Concession gas/power at a 12% DFI hurdle: NPV +₦7.6 billion , IRR 13.2% . Fat-traffic upside at 18%: +₦19 billion .
₦100 billion profit?	Not on this opening plan. Year-10 planning NPAT is ₦8 billion . Concession ₦23 billion . Upside ₦60 billion . A gated 1.0 Mt crude programme prints ₦135 billion NPAT — different capital (₦692 billion plant).
₦100 billion sales?	Yes , from Year 3 on the longs mill alone (~₦104–134 billion).

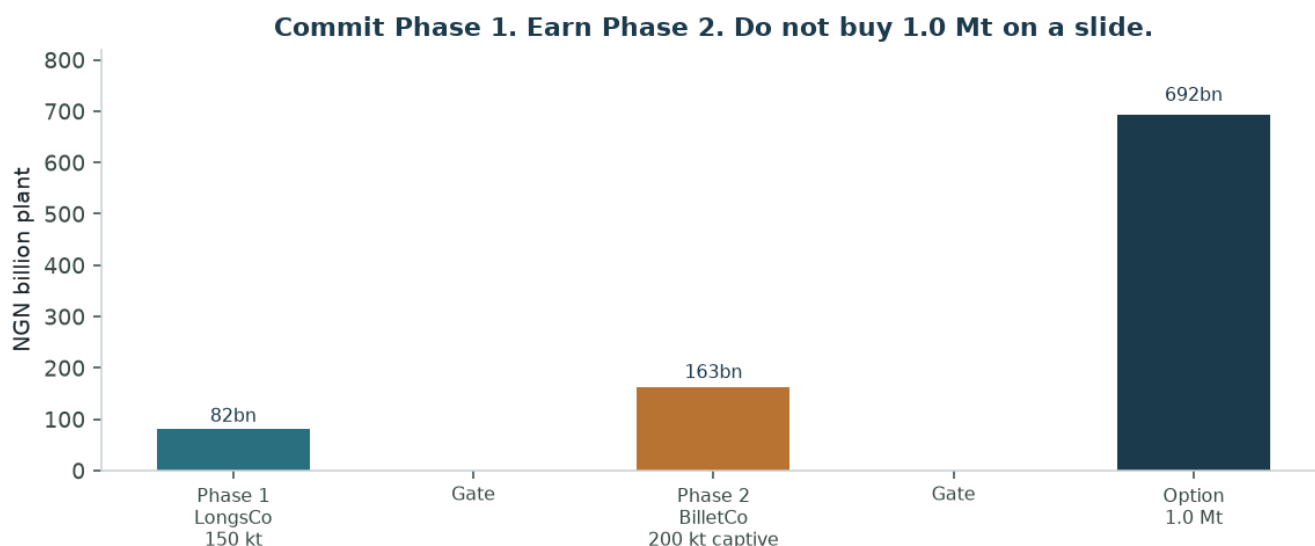


Figure: Capital committed now is the 150 kt longs mill. The melt shop is a second FID. One million tonnes is an option, not a purchase order.

Go / no-go

Decision	Call
Incorporate Holdings + LongsCo, raise Phase 1	Go if $\geq 50\%$ of 150 kt is pre-sold and a gas/reheat term sheet exists.
Build BilletCo	Go after gates. Longs $\geq 70\%$ utilised for 12 months, 10-year gas SPA, scrap + DRI cover $\geq 70\%$ of the charge.
Size BilletCo to export billets	No. Billets can enter at 0% duty . Melt is for captive feed to LongsCo.
Sprint to 1.0 Mt / ₦100bn NPAT	No. That is a later programme with its own offtake and power.
Stress (no power, dumped rod, 45% util)	Do not build. EBITDA stays negative.

2. Two companies

The user asked for a **billet company** and a **semi-finished / longs company**. They are not one plant with two labels. They have different customers, different tariff walls, and different capital.

Job	Roll billets into TMT rebar, wire rod, merchant bar	Melt scrap + DRI in an EAF , cast billets
Customer	Distributors, fabricators, construction majors, ECOWAS yards	LongsCo first . A thin surplus to other rollers only
Tariff wall	Finished deformed bars / 5.5–14 mm rods: about 35% (2026 FPM, down from 45%)	Billets / HRC for local production can qualify for 0%
Why it exists	Beat duty-paid landed rod , not China FOB	Take ¥140,000/t off LongsCo's metal bill if power is cheap
Opening scale	150,000 t/year nameplate	200,000 t/year nameplate — sized to the mill, not to Africa
Plant	¥82 billion	¥125 billion melt + ¥38 billion captive gas (~40 MW)
When	Years 1–2	Years 4–5, after LongsCo prints

Ashlar Steel Holdings owns 100% of both. Consolidation kills inter-company billet sales. Statutory books still show a transfer price (import-parity minus a thin discount) so VAT and related-party rules stay clean.

Do not add a third company for “slabs and coils” in Phase 1. Flats (HRC, CRC, coated sheet) are a different mill, a different offtake, and a fight with imported coil. This plan is **longs**.

3. Market and policy

Demand. Industry and ministry figures put Nigerian steel use near **7–10 million tonnes** a year, with something like **70% imported**. Rebar is the everyday tonne: housing, roads, power plants, telecom towers. Wire rod feeds nail, mesh, and electrode shops. Merchant bar feeds fabricators. Those three SKUs are what LongsCo sells.

Retail rod in early 2026 sat near **¥950,000–¥1.10 million per tonne** for common TMT sizes (market surveys). Planning uses a blended ex-mill **¥990,000/t** — below the retail print, in the band a mill actually invoices a distributor.

Official vs ministry import bills. NBS recorded **over ¥1 trillion** of iron and steel imports in 2025 (six-year official average ~¥526 billion). The Minister of Steel has used **~\$4 billion / ~¥5.6 trillion**, which includes cargo the customs file misses. This CBA uses the **NBS floor** for humility and the **\$4 billion** figure only as the ceiling on national substitution.

Policy. The 2026 Fiscal Policy Measures (from 1 April 2026) cut some steel lines and still protect finished longs:

- Zinc-coated sheet, aluminium-coated coil, electrolytically plated steel, **deformed hot-rolled bars, rods 5.5–14 mm: 35%** (from 45%).
- Cold-rolled low-carbon: about **15–20%** depending on line.
- **Billets and HRC used for local production** can qualify for **0%**.

That is the whole strategy in one table. The state wants you to **process** semis here. It does **not** give you a wall against imported billets. A company that only melts and sells billets competes with Ukraine, Russia and China at world price plus freight. A company that rolls **and** melts uses the 35% wall on the product people pour into concrete.

IATs on many lines begin to fade from 2027 toward zero by 2036 under ECOWAS/AfCFTA. The 35% finished-longs protection is **not a permanent moat**. Phase 1 must still work if the wall thins. That is why Phase 2 exists — own metal, not own tariff.

Who is already here

Player	Role versus this plan
African Foundries / ASHL	Largest working longs complex; ~\$450m revenue; captive power; DRI + scrap. The incumbent to respect, not to clone in Year 1.
Premium Steel / Delta Steel	\$1.3bn revival, 1 Mt liquid steel, Itakpe ore. State process. Do not bid it.
Announced Ogun Chinese plant (~\$450m)	Same corridor. Race on execution and offtake, not on press releases.
Dana, KAM, Landcraft, Lagos/Ogun rollers	Many import billets and roll. LongsCo's first customers and first competitors.
Ajaokuta	20-year gas MoU in 2026; still not a commercial mill. Leave it.

West Africa is a **warehouse and distributor** market for Phase 1 (Ghana, Benin, Cameroon, Chad construction). It is not a second mill until the Ogun plant is full.

4. Technical plan

Site. Ogun industrial corridor (Ogijo-Sagamu-Ibafo / Agbara class): Lagos construction demand, Apapa/Lekki billets and scrap, gas laterals, trucking to the hinterland. Not Kogi (ore without a finished-goods market on the doorstep). Not a Jibowu-style inner plot.

Phase 1 — LongsCo

- 150 kt/year continuous bar mill, TMT quenching, cooling bed, finishing, SON lab.
- Mix: **70% rebar, 20% wire rod, 10% merchant bar.**
- Reheating on **contracted gas**, not diesel. 10–15 MW of site power (grid + gas genset). The EAF is not in this phase.
- Billet yard sized for 50 days of metal. Imported 130–160 mm billets until BilletCo starts.
- Quality: BS 4449 / equivalent TMT, full certificates. The market's silent tax is **underweight bar**. SON-grade rod is the brand.

Phase 2 — BilletCo (captive)

- 200 kt/year EAF + ladle furnace + 3-strand continuous caster.
- Charge: about **60% scrap / 40% DRI** (planning). Scrap from Lagos/Ogun yards; DRI on a multi-year offtake (do not build a DRI plant in Phase 2).
- **~40 MW captive gas** (or an IPP at the fence). This is the gate. Diesel melt is the stress case.
- Output: 6 m and 12 m billets to LongsCo. Surplus only if another roller has signed.

What is not in the plan

- Iron-ore mine, pellet plant, or blast furnace.
- HRC / CRC / coated flats.
- A mill in every state or a “serve 54 countries” map.
- Buying Ajaokuta, DSC, or NIOMCO.

Sequence

1. Offtake and gas for LongsCo.
2. Build and run the 150 kt mill on imported billets.
3. Twelve clean months at $\geq 70\%$ utilisation.
4. FID on BilletCo.
5. Only then talk about a second stand or 1.0 Mt.

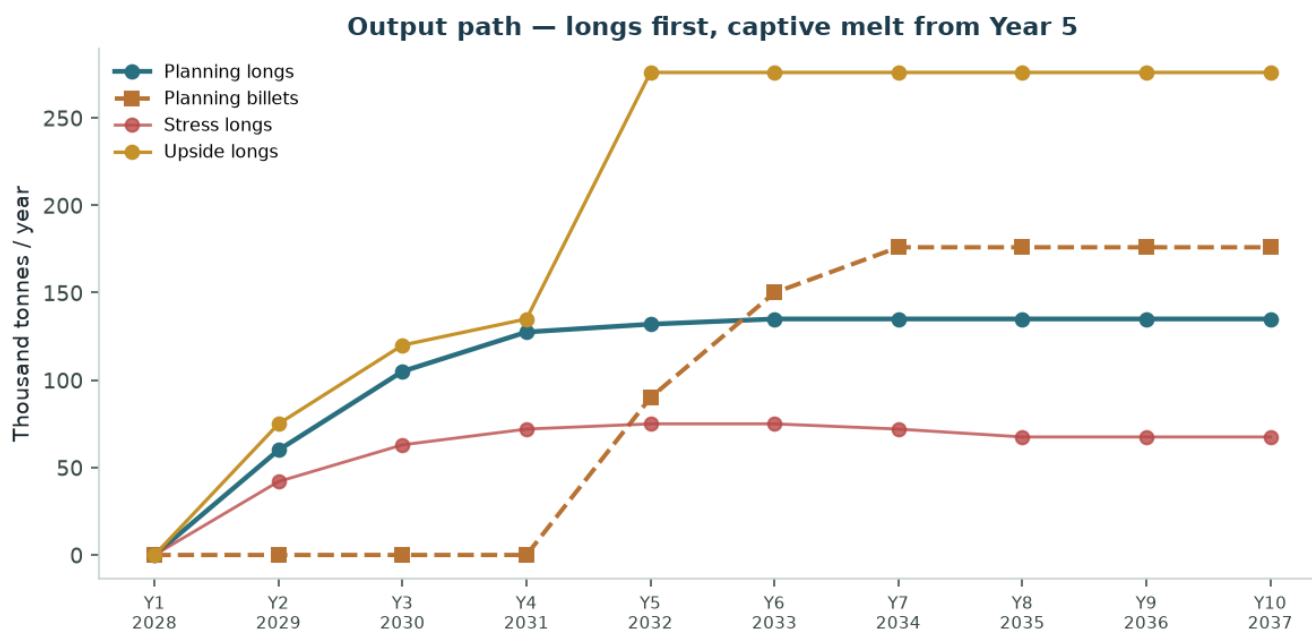


Figure: Planning longs ramp from Year 2. Melt starts in Year 5 and is sized to feed the mill. Upside adds a second stand; stress never fills the plant.

5. Cost

Planning FX **¥1,500 / USD**. Plant items are imported; this rate is a capital-goods assumption, not a CBN spot call.

5.1 Uses — Phase 1 (LongsCo)

Item	¥ billion	\$ million
Bar mill, TMT line, electrics (~\$165/t × 150 kt, plus extras)	37	25
Civil, cranes, yard, lab, offices	18	12
Reheat, utilities, 10–15 MW site power	15	10
Engineering, spares, commissioning, owners	12	8
Plant	82	55
Opening metal + receivables (inside the ten-year WC path)	~16–20 once running	11–13
Phase 1 equity	28.7	19
Phase 1 debt (9% DFI/bank, 10-year amort from Y3)	53.3	36

A 30–100 t/day “mini mill” at ¥0.5–1.2 billion is a different animal. It cannot hold SON-grade share against AFL. This plan is a **real** 150 kt mill.

5.2 Uses — Phase 2 (BilletCo + power)

Item	₹ billion	\$ million
EAF + LF + caster, 200 kt	125	83
Captive / dedicated gas, ~40 MW	38	25
Phase 2 plant	163	109
Equity (35%)	57.1	38
Debt (10%, 12-year amort from Y6)	106.0	71

Full planning plant **₹245 billion**. Equity **₹85.8 billion**. Debt **₹159.3 billion**.

Capital committed — 1.0 Mt is a different company

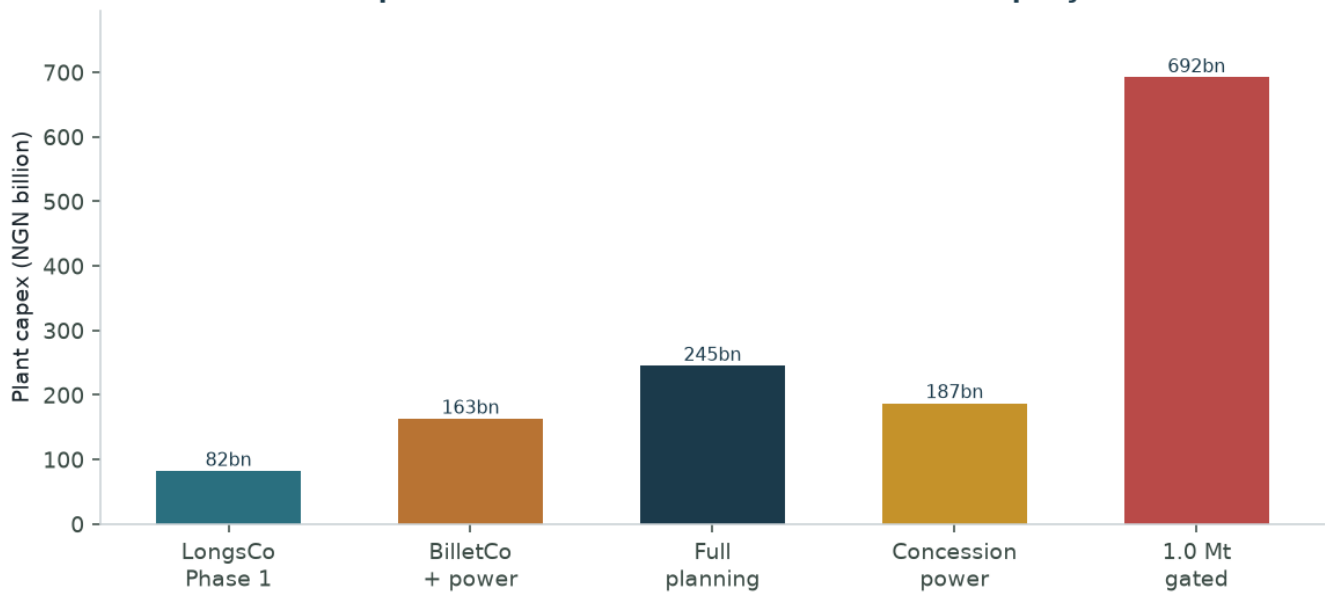


Figure: Phase 2 is twice Phase 1. The 1.0 Mt option is almost three times the full planning plant.

5.3 Unit cash cost (planning, per tonne)

Line	₹ / t
Landed imported billet (0% duty, planning)	750,000
Own billet cash cost (scrap/DRI + power + electrodes)	610,000
Rolling conversion (gas, rolls, labour, power)	80,000
Yield (1.036 t billet / t finished)	—
Spread, import route (ASP ₹990,000)	133,000
Spread, own-billet route	278,000
Melt versus import billet	140,000

Planning cash spread — melt doubles the longs margin

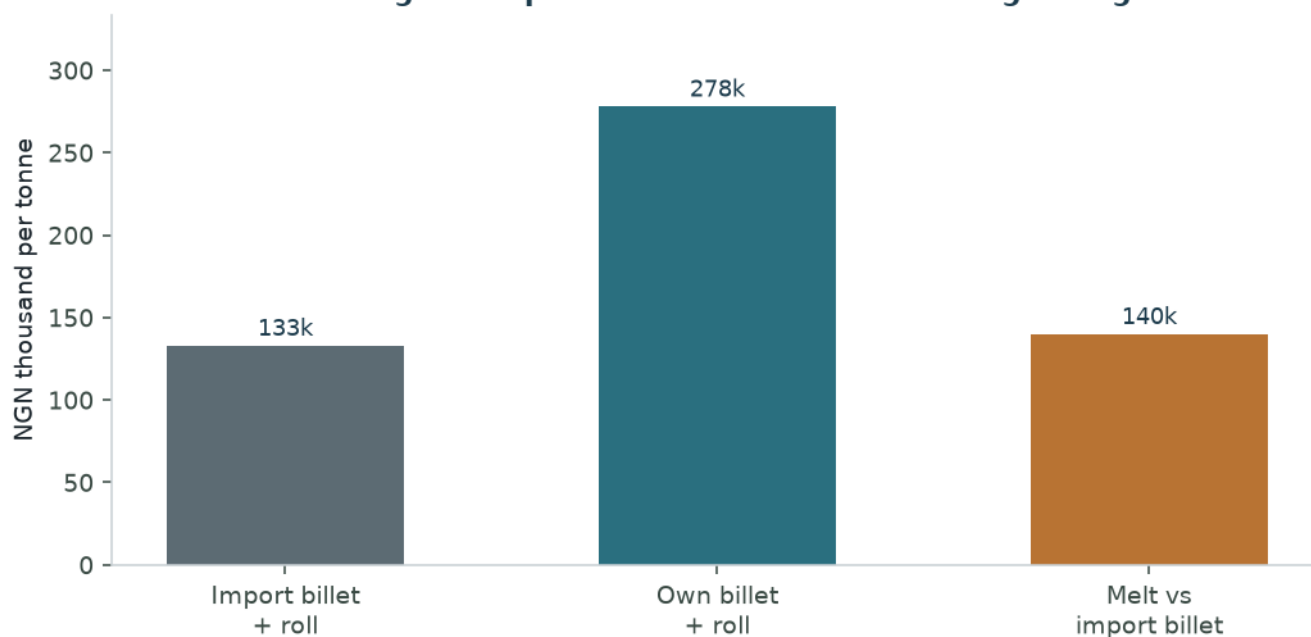


Figure: Rolling imported billets is a thin spread. Captive melt more than doubles it — if the kWh price is real.

Billets are **70-85%** of a roller's cash cost worldwide. If BilletCo's own cost is not below import-parity, Phase 2 is a monument.

5.4 Operating burden (planning)

- Holdings + two-company G&A: **₦2.8 billion** in Year 1, +7% a year.
- Insurance: **0.8%** of cumulative plant.
- Tax: **32.1%** on positive PBT (30% CIT + education tax, stacked). Pioneer status is **not** in the planning case.
- Metal working capital: **50 days**. Receivables: **25 days**.

5.5 Stress cost

Diesel melt, ₦800,000 imported billets, ₦140,000 conversion, ₦820,000 rod price, utilisation stuck near 45%. That is the failed-Kano-textile pattern in steel: new equipment on expensive power. The model keeps EBITDA **negative** every year.

6. Benefit

6.1 Private — planning ten-year P&L (consolidated)

Year	Longs kt	Billets kt	Revenue	EBITDA	NPAT	Plant capex	Project FCF
Y1 2028	—	—	—	−₹3.3bn	−₹6.6bn	₹57.4bn	−₹60.7bn
Y2 2029	60	—	₹59.4bn	₹4.1bn	−₹5.3bn	₹24.6bn	−₹31.0bn
Y3 2030	105	—	₹104.0bn	₹9.7bn	₹0.2bn	—	₹0.2bn
Y4 2031	128	—	₹126.2bn	₹11.8bn	−₹1.3bn	₹65.2bn	−₹59.6bn
Y5 2032	132	90	₹130.7bn	₹24.0bn	−₹3.3bn	₹97.8bn	−₹76.3bn
Y6 2033	135	150	₹140.8bn	₹32.1bn	₹3.1bn	—	₹25.1bn
Y7 2034	135	176	₹159.3bn	₹34.4bn	₹5.6bn	—	₹24.1bn
Y8 2035	135	176	₹159.3bn	₹34.1bn	₹6.4bn	—	₹27.4bn
Y9 2036	135	176	₹159.3bn	₹33.7bn	₹7.1bn	—	₹27.1bn
Y10 2037	135	176	₹159.3bn	₹33.4bn	₹7.9bn	—	₹26.9bn

Year 4–5 NPAT dips because melt debt is drawn **before** melt tonnes. That is why Phase 2 is a second FID, not a single close.

Ten-year cumulative NPAT, planning: **+₹13.8 billion**. Residual plant book + working capital at Y10: **₹178 billion** (the mill is not scrap in year 10).

6.2 Private — NPV and IRR

Assets last 16–20 years. A ten-year cut without residual understates value. The table shows both.

Case	Plant	Y10 NPAT	IRR unlev.	IRR + residual	NPV @ 18% + resid.	NPV @ 12% + resid.
Stress	₹251bn	−₹49bn	n/m	−18%	−₹202bn	−₹229bn
Longs only	₹82bn	₹3.8bn	−6%	4.8%	−₹41bn	−₹29bn
Planning full	₹245bn	₹7.9bn	−11%	5.3%	−₹68bn	−₹50bn
Concession power	₹187bn	₹23bn	3.3%	13.2%	−₹21bn	+₹7.6bn
Upside	₹395bn	₹60bn	7.8%	21%	+₹19bn	+₹79bn
1.0 Mt gated (upside ops)	₹692bn	₹135bn	—	27%	+₹74bn	—

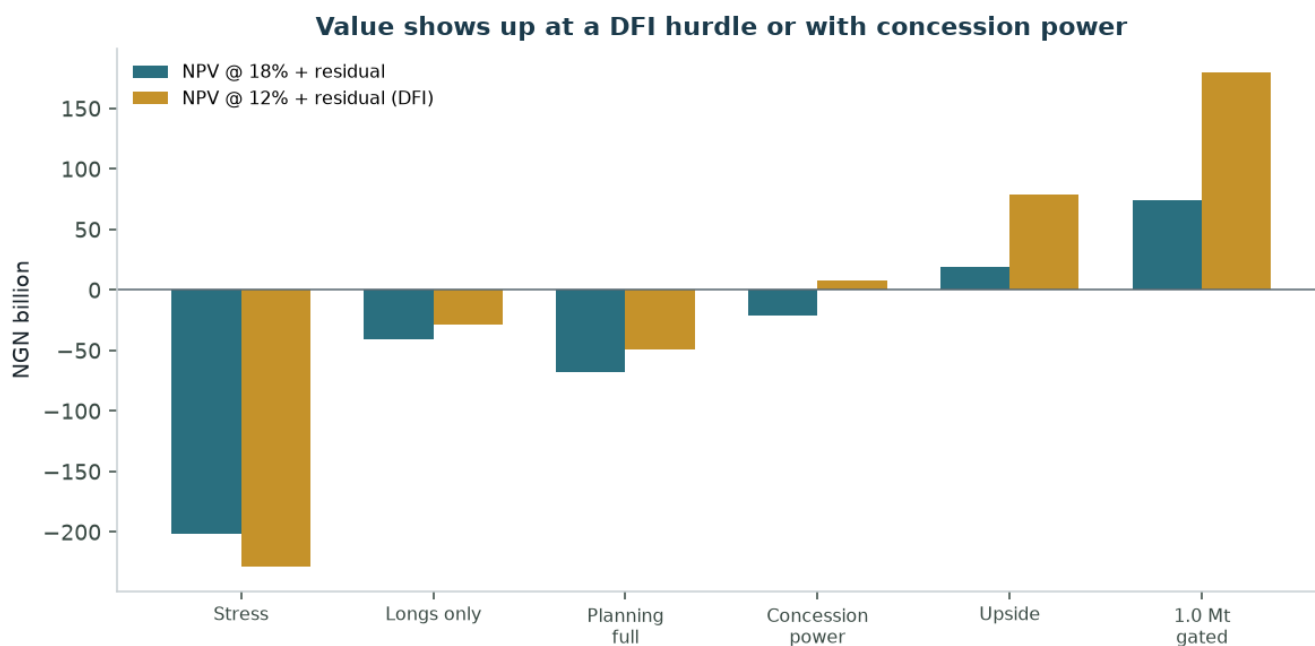


Figure: At a private 18% hurdle the planning plant destroys value. At a 12% DFI hurdle, concession power clears. Upside and 1.0 Mt are not the opening case.

Read this correctly. Rolling imported billets at a ₦133,000/t spread does **not** earn Nigerian private-equity rates. The public case for DFI money is **import substitution + jobs + SON-grade rod**, not 25% IRR. Holdings should raise Phase 1 as a **BOI / Afrexim / local-bank** project, not as a 22% cash-business.

Longs-only is cheaper and still does not clear 18%. Full planning spends ₦163 billion more to buy the melt spread; without cheap power that extra capital **widens** the NPV hole (–₦68bn vs –₦41bn). Melt is valuable **only** when own billet cash cost stays near **₦610,000/t or below**.

6.3 Public benefit (planning)

Public line	Planning
Finished + merchant tonnes substituted over 10 years (revenue proxy)	₦1.20 trillion
Year-10 annual substitution	₦159 billion (~\$106 million)
Substitution per naira of plant	4.9×
Direct jobs (planning full)	~350 LongsCo + ~400 BilletCo + power
Indirect (scrap, trucks, fabrication)	~2,000–4,000
Quality	Certified TMT versus underweight market bar

Concession power: **₦1.24 trillion** substituted on **₦187 billion** plant (**6.6×**).

These public numbers are **gross substitution**, not a social NPV. They are why a DFI can fund a project whose private NPV at 18% is negative.

6.4 Who keeps the private benefit

Party	Take
Holdings	Residual equity after debt; LongsCo cash from Year 3; BilletCo cash from Year 6
DFI / banks	9–10% on amortising project debt; DSCR in planning rises above 1.25x only once melt is running (Y5+)
Host state (Ogun)	PAYE, land, power offtake politics
Distributors	Margin on certified rod
Scrap / DRI suppliers	A monthly industrial offtake

7. Scenarios

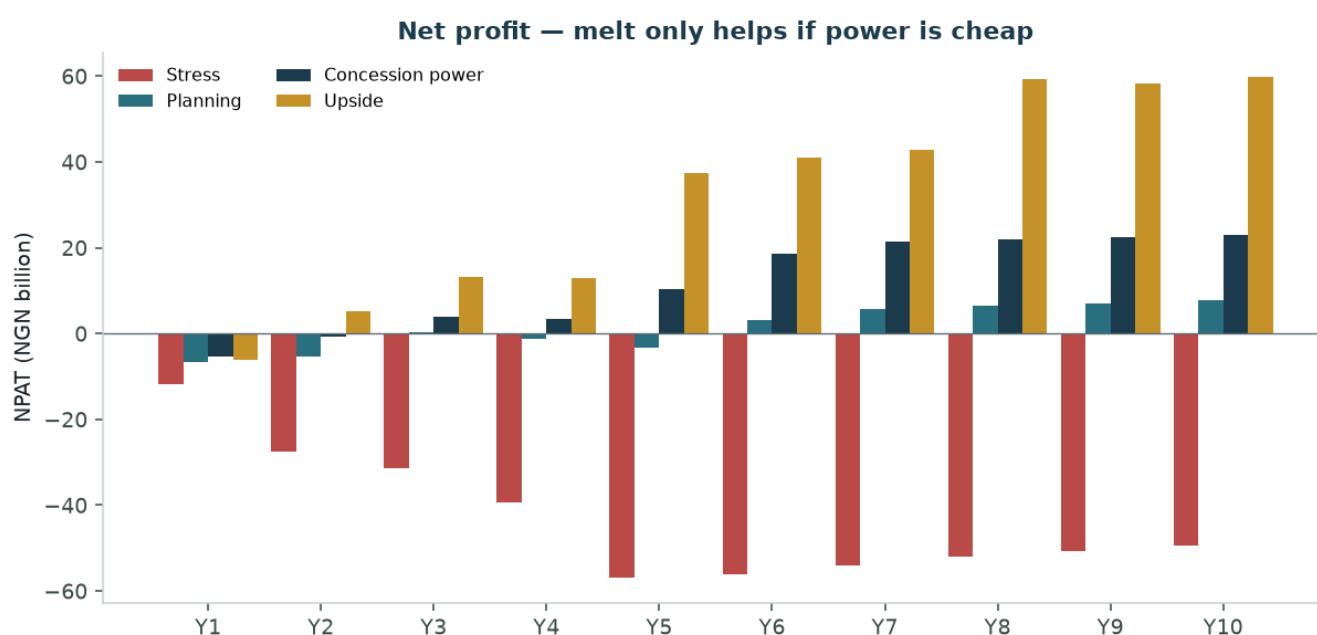


Figure: Stress never makes money. Planning is thin. Concession power is the first case with a serious profit line. Upside is fat traffic and a second stand.

Stress. Rod ₦820,000/t, imported billet ₦800,000, conversion ₦140,000, no captive power, utilisation ~45%. The mill is a diesel monument. Do not “hope utilisation up.” Kill the project if Year-2 traffic looks like this.

Planning. The feasibility case in this memo. Imported billets until Year 5. Captive melt at ₦610,000/t. 90% longs utilisation from Year 6. Honest, not heroic.

Concession power. Same volumes, cheaper plant (shared park civils, IPP at the fence), own billet ₦540,000/t. This is the **go-shape** for Phase 2: gas SPA and site deal written like a Dangote-style input contract, not “we will find megawatts.”

Upside. Second 150 kt stand in Year 5, merchant melt in Year 8, ₦1.08 million/t ASP, ₦560,000 own metal. Year-10 NPAT **₦60 billion**. Still not ₦100 billion.

1.0 Mt gated. Upside operations plus a later crude expansion to **one million tonnes**. Plant **₦692 billion**. Year-10 NPAT **₦135 billion**. IRR with residual **27%**. This is the only case in the model that **clears ₦100 billion profit**. It is an option after the first mill is fat, not the raise.

8. Funding

Phase 1 close (now)

1. **₦28.7 billion equity** — promoters, industrial partners, maybe a strategic longs distributor.
2. **₦53.3 billion** BOI / Afrexim / local club at **9%**, machines and assignment of offtake as security, 10-year amort from Year 3.
3. No ₦160 billion ticket. No ₦90 billion “steel fund” on a slide.

Phase 2 close (after gates)

1. **₦57 billion** new equity (retained Phase 1 cash will not be enough; Holdings raises).
2. **₦106 billion** project finance at **10%**, 12 years from Year 6, gas SPA in the security package.

What the debt can stand

Planning DSCR is below 1.0x in the build years (no sales) and about **0.96x** in Year 3. It is not a comfortable coverage until melt tonnes arrive. Size the first facility to **LongsCo only**. A single loan for ₦245 billion on day one does not service — the same mistake as a giant ticket on an unbuilt kiosk fleet.

Pioneer tax holiday would fatten NPAT. It is **not** in the model. Treat it as upside if NIPC grants it.

9. Gates

Write these into the shareholders’ agreement.

Before LongsCo notice to proceed

1. **≥50% of 150 kt** under offtake (12-month rolling, named distributors or EPCs).
2. Gas or dual-fuel reheat contract. Diesel-only is a no-go.
3. Site with truck access to Lagos and the hinterland; not an inner-city plot.
4. SON / MANCAP path and a lab specification in the EPC.
5. Billet supply: two seaborne sources, 0% industrial-input documentation.

Before BilletCo FID

1. LongsCo **≥70% utilised for 12 months**.
2. **10-year gas SPA** (or IPP PPA) at a price that keeps own billet **≤ ₦610,000/t** in today’s naira.
3. Scrap + DRI cover **≥70%** of the charge, take-or-pay or equivalent.
4. Combined DSCR path **≥ 1.25x** in the bank model after commissioning.
5. No merchant billet expansion without third-party offtake.

Never

- A melt shop that sells most of its tonnes as billets into a 0% duty import market.
- A copy of this mill in every geopolitical zone.
- Using “₦100 billion profit” as the Phase 1 raise story.

10. The ₦100 billion question

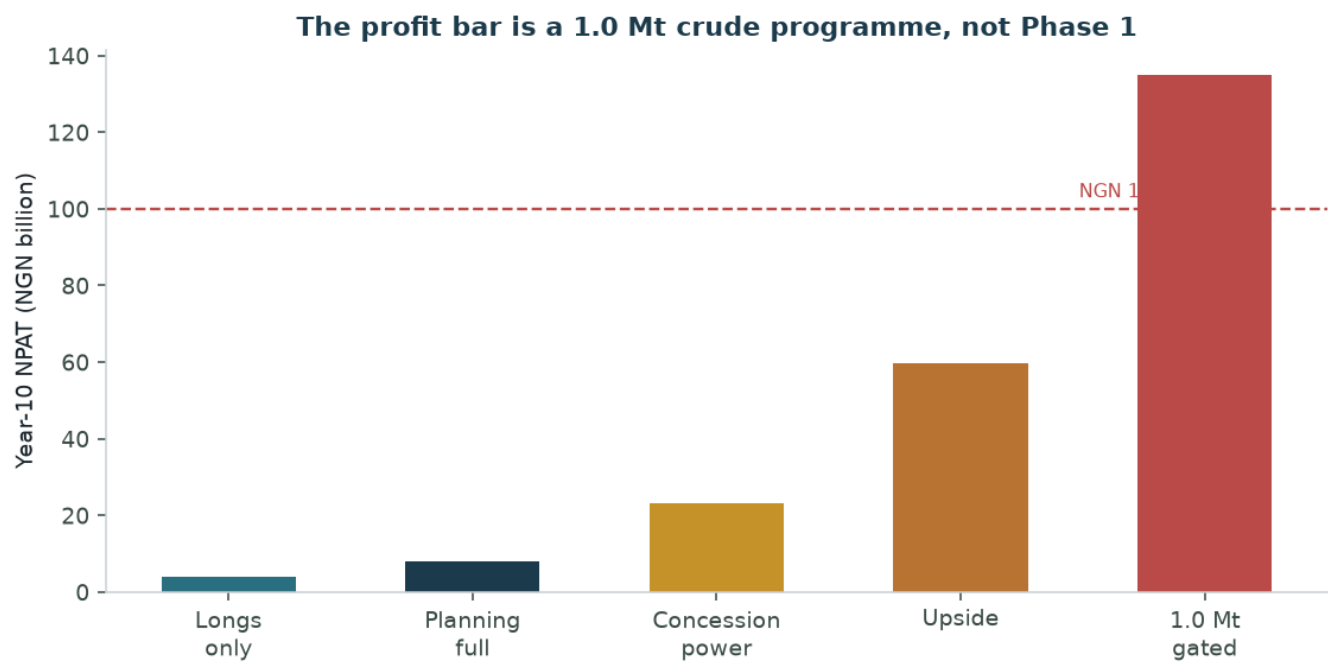


Figure: Planning, concession, and even the fat upside sit under the line. Only the gated 1.0 Mt crude programme crosses it.

If ₦100 billion means...	On this plan
Year-1 profit	No.
Year-10 planning profit	No. ₦8 billion.
Concession-power profit	No. ₦23 billion.
Upside profit (second stand)	No. ₦60 billion.
Year-10 sales	Yes from Year 3 on LongsCo (~₦104 billion+).
Profit on a 1.0 Mt crude + longs group	Yes, ₦135 billion — on upside ops and ₦692 billion of plant.
One opening loan of ₦100 billion	No. Phase 1 is ₦53 billion of debt.

Steel **can** be a ₦100 billion-profit industry in Nigeria. African Foundries’ recent ~\$450 million revenue at compressed mid-single-digit to high-single-digit EBITDA is the live proof of scale **without** that profit. You get ₦100 billion NPAT by owning **melt and power at about a million tonnes**, not by rolling 150 kt of imported billets.

The independent plan is: **build the 150 kt mill that can exist; earn the captive melt; keep 1.0 Mt as a gated option.** That is how you get onto the path without betting the firm on a slide.

11. Risks

Risk	Why it matters	Mitigation
Power / gas	Stress case. Own billet jumps to ₦780,000/t. Melt destroys value.	SPA before FID. No diesel EAF.
China / India dump + leaky 35%	Spread on import-route longs is only ₦133,000/t. A ₦100,000 price cut wipes it.	Certified TMT, offtake, then captive melt.
0% billet duty	Standalone BilletCo has no wall.	Do not build a merchant billet shop.
FX on plant and electrodes	Capex and melt cash cost move with the naira.	Dollar-linked offtake where possible; conservative ₦1,500 planning FX.
Scrap inflation	AFL's EBITDA already fell to 8.8% when scrap and landed billets jumped.	DRI offtake, long scrap contracts, do not assume 2023 margins.
Incumbents + new \$2.7bn	Same corridor, same customers.	Pre-sold tonnes. Do not assume empty demand.
Tariff fade to 2036	IAT liberalisation.	Competitiveness must be cost, not the 2026 FPM.
Working capital	Metal is most of the balance sheet.	50-day discipline; no "fill the yard."
Quality / underweight bar	Cheap illegal rod sets a fake price.	Lab, certificates, refuse to match underweight.
Policy and host risk	Steel has a 40-year graveyard of MoUs.	Private site, private offtake, no Ajaokuta bid.

12. Implementation

Window	Action	Owner
Months 0-3	Holdings + LongsCo; site option; offtake term sheets; gas/reheat enquiry	Promoter
Months 3-6	Bankable DPR; EPC shortlist; Phase 1 term sheet (₦28.7bn equity / ₦53.3bn debt)	Promoter + advisor
Months 6-9	Close Phase 1 only if gates 1-5 are green	Board
Months 9-24	Build 150 kt mill	EPC
Year 2-3	Commission; hit $\geq 70\%$ util; SON listing	LongsCo
Year 3+	BilletCo DPR; gas SPA; scrap/DRI	Holdings
Year 4-5	Build melt + power only after FID gates	BilletCo
Year 6+	Captive feed; DSCR $\geq 1.25\times$	Group
Later	Second stand / 1.0 Mt only with offtake	Board

Jobs at Phase 1: order of 300-400 direct. **At Phase 2:** about 700-800 direct plus contractors.

13. What this plan is not

It is not Ajaokuta. It is not a \$1.3 billion Delta Steel concession. It is not a textile mill, a kiosk fleet, or a "piece of everything." It is not a promise that modern equipment alone beats dumped rod. It is a **two-company longs-and-captive-billet programme** whose opening cheque is **₦82 billion of plant** and whose honest planning profit is **single-digit billions** until power is cheap and the mill is full.

If the bar is **₦100 billion NPAT**, the document’s answer is: **same industry, later scale (≈1.0 Mt crude), different raise**. If the bar is **a real steel company that can get onto that path**, Phase 1 is the plan.

14. Model notes and sources

Rebuild

```
python3 model/cba_model.py
python3 model/generate_charts.py
python3 model/build_pdf.py
```

Planning FX ₦1,500/USD. Tax 32.1%. Discount 18% private / 12% DFI sensitivity. Residual at Year 10 = remaining book value + working capital. Yield 1.036 t billet per t finished. Bar-mill capex benchmark ~\$165/t (global bar-mill samples). Melt all-in ~\$415/t equipment plus a separate power line. Unit prices anchored to 2026 Nigerian rod surveys (~₦0.95–1.10m/t retail) and a \$450–500/t class landed billet.

Sources (public, 2025–2026)

- NBS iron-and-steel import values as reported by Punch / Nation (2025 bill **>₦1 trillion**; six-year official average ~₦526 billion).
- Ministry of Steel: ~**\$4 billion** import estimate; ~**10 Mt** demand; ~**70%** imported; **1.2 Mt** crude in 2025 (World Steel via BusinessDay); 10 Mt ambition by 2030.
- 2026 Fiscal Policy Measures (1 April 2026): finished longs lines at **35%**; industrial billets/HRC can qualify for **0%**.
- African Foundries: ~**\$450 million** revenue; EBITDA **8.8%** after scrap/billet inflation (from 17.9% in 2023); 500 kt DRI input layer; captive power.
- Premium Steel / Delta Steel: **\$1.3 billion**, 1 Mt liquid, NIOMCO Itakpe offtake.
- Private commitments ~**\$2.72 billion** including a **\$450 million** Ogun plant (BusinessDay).
- Ajaokuta: 20-year gas GSA, 3 MMscf/d firm + 47 MMscf/d interruptible (2026); still not commercial.
- Rebar retail: NaijaSabi / Buildpadi / Bizwatch surveys, early 2026.
- Global conversion: Steelonthenet bar-mill capex and rebar cost stack (billet ~70–85% of cash cost; rolling value-add often \$80–150/t).

Working names. Ashlar Steel Holdings, Ashlar Longs Ltd, and Ashlar Billets Ltd are labels for the vehicles. Register what counsel files.

15. One-page cost-benefit

	Cost	Benefit if gates pass
Phase 1 LongsCo	₦82bn plant · ₦28.7bn equity · ₦53.3bn debt	150 kt certified longs · ~₦134bn sales at 90% · ~₦3.8bn NPAT longs-only · first industrial books
Phase 2 BilletCo	₦163bn plant · ₦57bn equity · ₦106bn debt	Captive metal · planning group ~₦159bn sales · ~₦8bn NPAT · ₦140k/t off the metal bill
Concession power	₦187bn plant (cheaper civils + IPP)	~₦23bn Y10 NPAT · IRR 13% with residual · NPV +₦7.6bn @ 12%
Stress	~₦251bn wasted	None. Do not build.
1.0 Mt option	₦692bn plant	~₦135bn Y10 NPAT — only after the first mill is fat

Holdings recommendation. Raise and build **LongsCo**. Write BilletCo as a gated second company. Treat \$100 billion profit as the **1.0 Mt** question, not the opening prospectus.